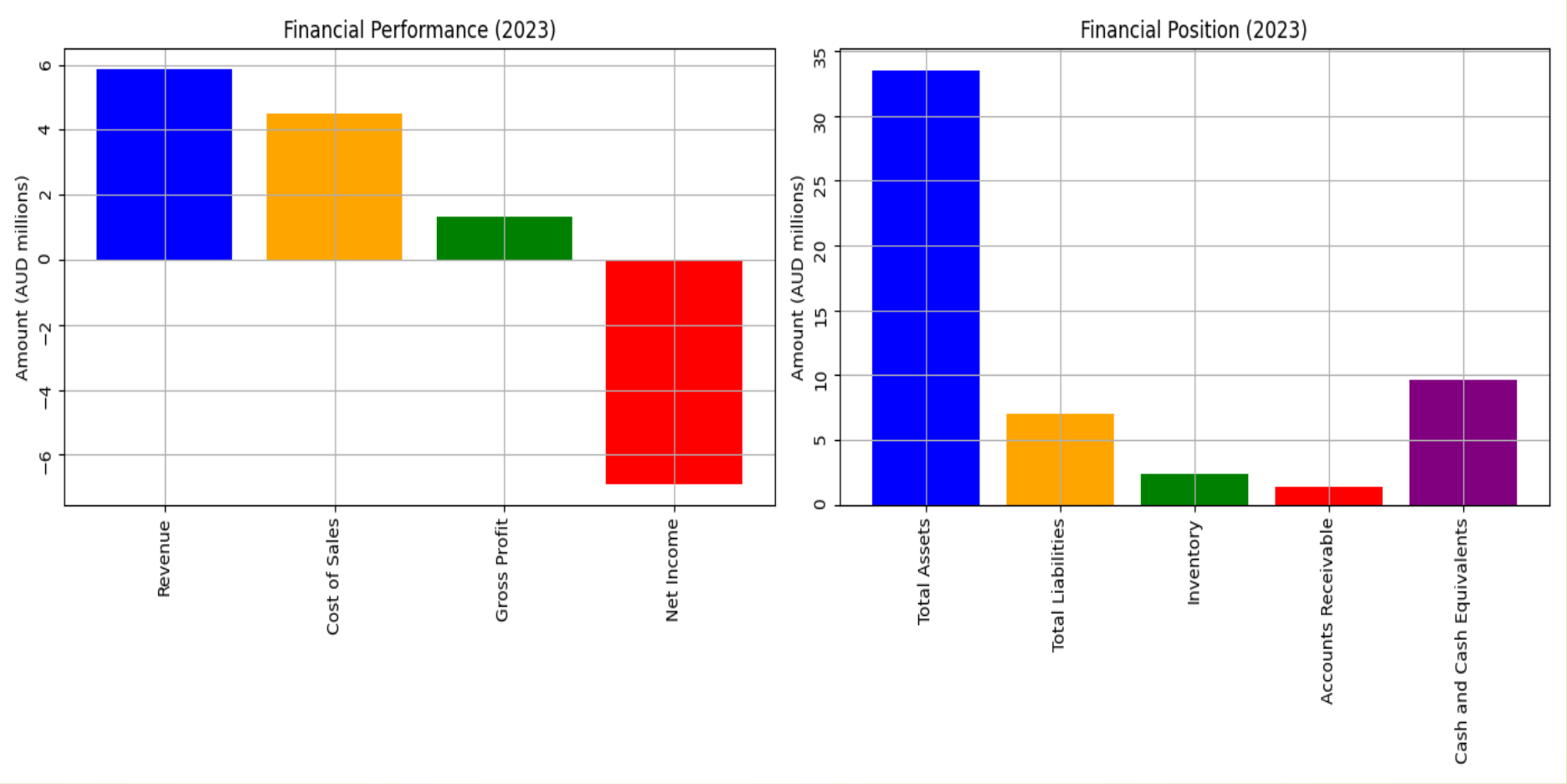
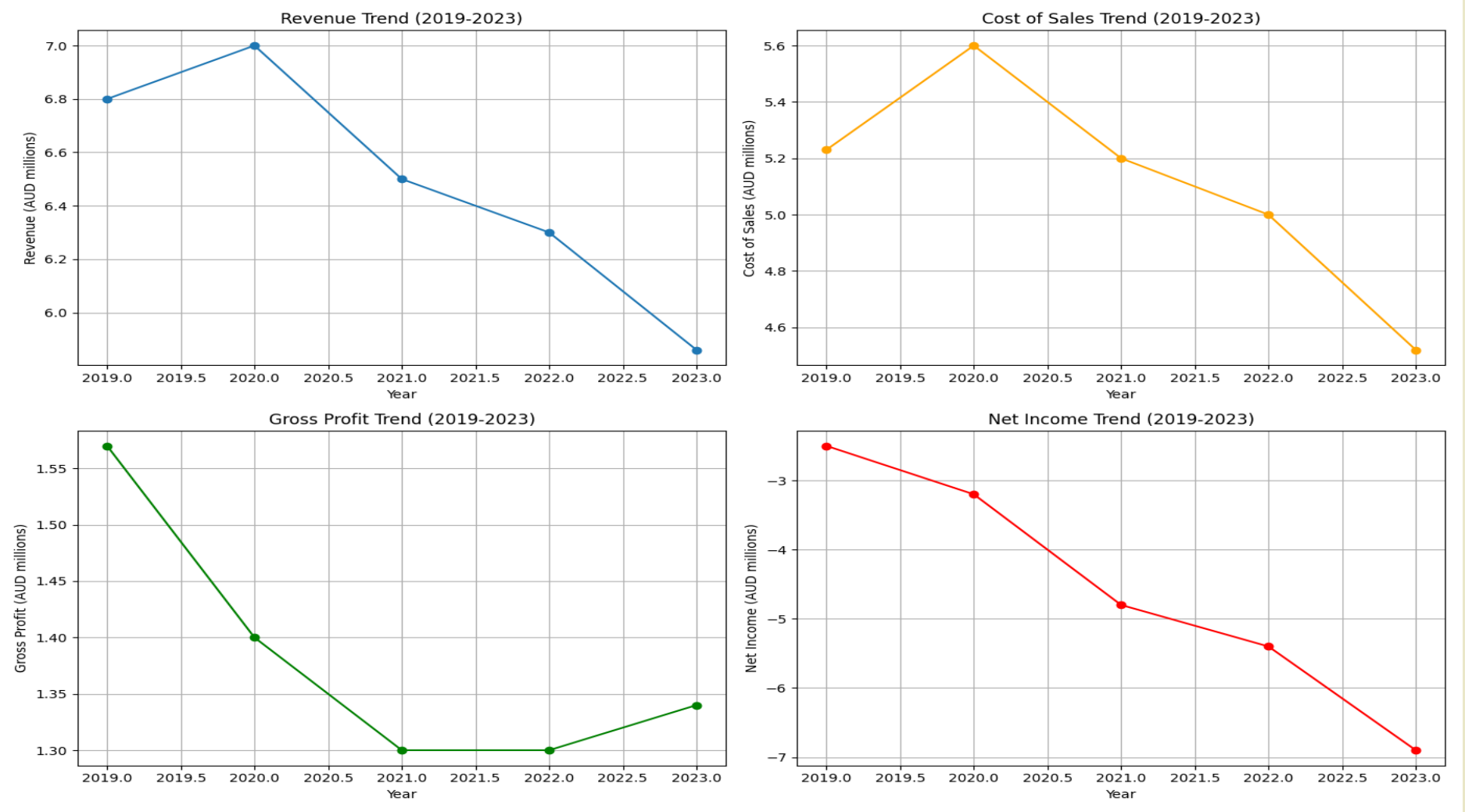
Introduction

Australian Dairy Nutritionals Group (ADNG) is a key player in the dairy industry, known for its high-quality nutritional products. This report evaluates ADNG's financial performance over the last five years through structured analysis, including vertical analysis, trend analysis, and ratio calculations.

1. Vertical Analysis



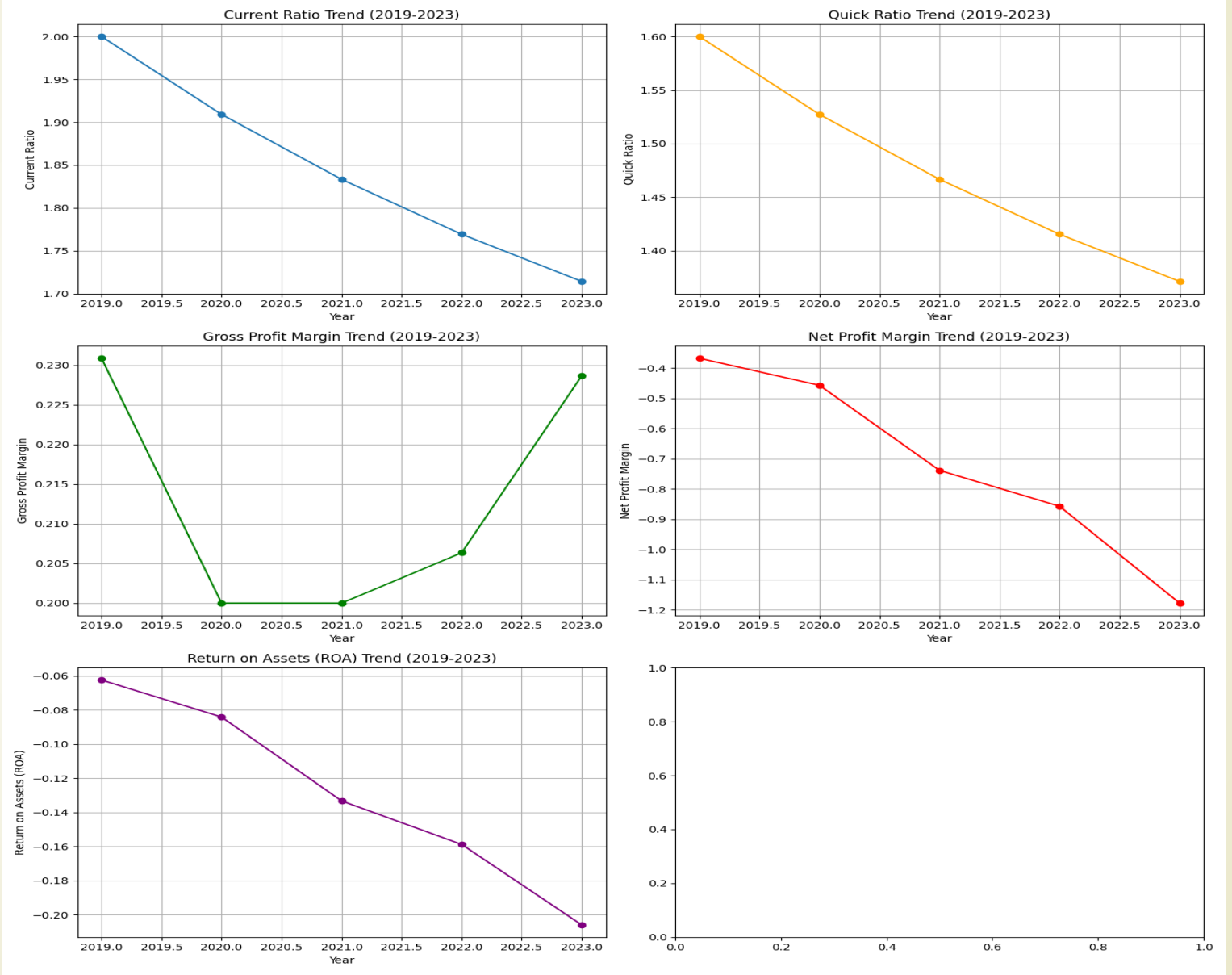
2. Trend Analysis



2.Trend Analysis

- **Key Takeaways:**
  - ADNG's revenue and net income have shown a declining trend.
  - Gross profit has remained stable.
  - Inventory management has been effective.

3. Ratio Analysis



3. Ratio Analysis

- **Market Prospects:**
  - **Earnings Per Share (EPS)**: Decreased from -0.25 in 2019 to -0.69 in 2023.
  - **Price-Earnings (P/E) Ratio**: Data indicates negative values due to negative earnings.

- **Key Takeaways:**
  - Liquidity ratios have declined, indicating potential short-term financial health issues.
  - Profitability ratios have worsened significantly.
  - Market prospects show a declining trend in earnings per share.

Discussion

- **Strengths:**
  - Stable gross profit margin despite revenue changes.
  - Effective inventory management.

- **Weaknesses:**
  - Decreasing revenue and worsening net income.
  - Declining liquidity ratios and increased cash conversion cycle

Conclusion

ADNG faces significant financial challenges, highlighted by decreasing revenue, worsening net income, and declining liquidity ratios. While gross profit margin stability and effective inventory management are positives, the company must address its profitability issues and improve operational efficiency to ensure long-term financial health.